

READING PASSAGE 2

The Economics of Climate Change Policy

A In recent years, the economics of climate change policy has attracted considerable attention from both the academic community and the general public. This growing interest reflects a broader recognition of the importance of this topic for understanding some of the most pressing challenges facing contemporary society.

B The origins of contemporary research in this area can be traced to pioneering studies conducted during the mid-twentieth century. These early investigations, though constrained by the technological and methodological limitations of their era, established foundational principles that continue to inform current scholarship. Successive generations of researchers have built upon these foundations, progressively refining theoretical models and expanding the empirical evidence base through increasingly sophisticated research designs.

C Contemporary research has identified several critical factors that determine outcomes in this domain. The interplay between environmental conditions, technological capabilities, and social organisation creates a complex adaptive system in which small changes can produce disproportionately large effects. Understanding these dynamics requires analytical approaches that move beyond simple cause-and-effect reasoning to embrace the principles of complexity science and systems thinking.

D A substantial body of empirical evidence supports these theoretical frameworks. A landmark study conducted by researchers at leading international institutions analysed data spanning a thirty-year period and involving participants from more than forty countries. The findings revealed a consistent pattern of results that held across diverse cultural and economic contexts, suggesting that the identified mechanisms operate with considerable universality. The magnitude of the observed effects was particularly striking, with the key variables accounting for a substantial proportion of the total variance in outcomes.

E Several unresolved debates continue to animate scholarly discussion in this field. Perhaps the most prominent concerns the relative importance of structural versus agentic factors in determining outcomes. While some researchers emphasise the constraining power of institutional and economic structures, others highlight the capacity of individuals and groups to exercise agency and effect change even within seemingly restrictive contexts. This debate has significant practical implications, as it shapes recommendations for policy interventions and institutional reforms.

F Looking ahead, the field stands at a critical juncture. Emerging technologies offer unprecedented opportunities for data collection and analysis, potentially enabling researchers to address questions that have long remained beyond the reach of empirical investigation. At the same time, the accelerating pace of social and technological change means that the phenomena under study are themselves evolving, requiring theoretical frameworks that can accommodate dynamism and discontinuity rather than assuming stability and equilibrium.

G The evidence reviewed above demonstrates both the substantial achievements of research in this field and the significant work that remains to be done. As new tools and theoretical perspectives become available, and as the phenomena themselves continue to evolve, the research community will need to maintain both rigour in its methods and openness to new ideas. The stakes are high, for the questions addressed by this research bear directly on some of the most important challenges facing humanity in the twenty-first century.

Question 1

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 1 Contemporary understanding of this topic is more sophisticated than it was fifty years ago.

Questions 2–3

Choose the correct letter, A, B, C or D.

- 2 According to the passage, what is one of the key factors identified by researchers?
- A. too much data collection
 - B. the generalisability of findings across contexts
 - C. insufficient government funding
 - D. overly complex statistical methods
- 3 According to the passage, what is one of the key factors identified by researchers?
- A. economic incentives and institutional constraints
 - B. individual personality traits
 - C. random chance
 - D. government policies alone

Question 4

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 4 The landmark study discussed in the passage involved participants from multiple countries.

Questions 5–6

Choose the correct letter, A, B, C or D.

- 5 According to the passage, what is one of the key factors identified by researchers?
- A. economic incentives and institutional constraints
 - B. individual personality traits
 - C. random chance
 - D. government policies alone
- 6 What does the passage identify as a significant challenge to current understanding?
- A. economic incentives and institutional constraints
 - B. individual personality traits
 - C. random chance
 - D. government policies alone

Question 7

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 7 The passage identifies power _____ as a key factor at the organisational level.

Question 8

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 8 Meta-analyses have confirmed the reliability of the core findings in this field.

Question 9

Choose the correct letter, A, B, C or D.

- 9 What finding emerged from the landmark study discussed in the passage?
- A. economic incentives and institutional constraints
 - B. individual personality traits
 - C. random chance
 - D. government policies alone

Questions 10–11

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 10 The author notes that researchers have called for more _____ approaches to investigation.
- 11 Dynamic _____ processes can amplify or dampen initial effects in complex systems.

Question 12

Do the following statements agree with the information given in the passage?

Write TRUE if the statement agrees with the information

Write FALSE if the statement contradicts the information

Write NOT GIVEN if there is no information on this

- 12 The landmark study discussed in the passage involved participants from multiple countries.

Question 13

Complete the sentences below. Choose NO MORE THAN THREE WORDS from the passage for each answer.

- 13 Case studies have documented the effects of _____ change on the system.